Dependency Theory

In the 1950s, people began to question modernization theory, which led to new ideas like "Dependency Theory". The theory came as a critical reaction to the conventional approaches to economic development that became popular after World War II.

Dependency Theory argued that theories like modernization are misleading because they ignore the real relationship between rich and poor countries. It also believed by the theory that, modernization hides the true intentions of developed countries, which often continue to exploit their former colonies.

The idea that faster economic growth, or "modernization," would automatically help poor people in developing countries has not come true. Any idea of development that leaves millions of people hungry and hopeless cannot be accepted.

At macro level, the main premise of the structural dependency theory is that - it would be impossible to understand the processes and problems of Africa without considering the wider socio-historical context of Western European expansion (industrial and mercantile capitalism) and the colonization of these places by the Western economies.

The theory argued that colonialism wasn't just about exploitation—it was designed to repatriate profits from Africa back to Europe.

From the dependency view, this repatriation of profits was a system where African labor and resources created value that was taken by Europe. As a result, Europe developed while Africa was held back. For about 500 years, Europe grew richer by using Africa's resources.

Africa mainly sells raw materials, while the developed world sells finished goods. As a result, Africa has to be dependent on western countries. The process is still continuing by the MNC's. So, the poorer countries are dependent on Western countries from colonial period and the dependency is still continuing.

Dependency Theory is a critic of "Modernization Theory." **4 critics of modernization theory are given by dependency theory.**

1. The Role of colonization is ignored.

The role of colonization is ignored by modernization theory while dependency theory argues that the development in Europe has occurred by colonial extraction.

The theory explained that, Africa has been turned into a dumping ground for waste and surplus labor, and a market where trade favors rich countries. During colonialism, Europe built its wealth by organizing itself, collecting profits from Africa, and wisely investing those gains to boost its own economy and improve life for its people. So, development of Europe leads to the underdevelopment of Africa. The core idea of dependency theory is that rich countries became developed by keeping poorer countries underdeveloped.

2. Human Capital Outflow Continues From Poorer Countries To Rich Countries.

Human capital, or skilled workers, have to leave Africa/poor country for developed countries. During the colonial period, from the 15th to the 19th century, Africa was forced to sell people as slaves to work on European plantations in exchange for worthless goods like expensive alcohol.

This extraction of resources didn’t stop with the end of slavery. The process is continuing under Brain Drain term.

According to Ndulu (2004), since 1994, about 1.6 million South Africans in skilled jobs have emigrated, and the country lost 25% of its graduates to the USA. Additionally, 9.7% of all international medical graduates in Canada come from Africa.

The Scenerio of Bangladesh:

More than 50 percent of BUET graduates work abroad. There are more than 1,000 graduate engineers from Bangladesh live in Calgary, the city of Alberta, Canada's oil-producing province, of which 250 are graduates of BUET, Bangladesh's top engineering university.

In 2024, Bangladesh had a brain drain index of 6.7 out of 10, which is significantly higher than the global average of 4.98

The effect of brain drain ____

In U.S.A, for every 10 patients, there is one nurse while in Bangladesh, for 10,000 patients, there are only 3 nurses.

3. Regional Inequality.

Modernization theory said that, regional inequality exists but inequality is a temporary feature of world economy. The gap will be diminished. Dependency Theory argued that, Inequality is a permanent feature. It is a systematic exploitation continues thorough MNC's, free trade, world Bank / IMF.

MNC's exploit by expatriating the profits.

Free trade can destroy an industry by importong cheap products.Exaple of Dairy Industry in Bangladesh).

World Bank / IMF controls policies.

So, regional inequality will persists.

In 60's, after abolition of colonization, Africa continued to supply raw materials such as tea, coffee, cocoa, cotton, Steel, Aluminium, Copper to Weatern countries. These products are low valued. On the other hand, Western countries produce Aroplane, Aircraft, Robots, Machinery, Electronics, Tractors, Processd food which are high valued product. By exporting this low value product, Africa impors high value product; so inequality exists. Thereby, the argument came as that regional inequalities are not temporary and are unlikely to disappear over time. Instead, these inequalities will likely grow, meaning the developed world will continue to prosper while Africa stays stagnant.

4. West will decide the level of development of former colonies.

The theory argued that if Africa (the "satellite") developed too much, it could create new powerful groups that might take control of its resources. To prevent this, the developed countries controlled how fast and to what extent Africa could develop. They did this by imposing ineffective development policies, which allowed richer countries to continue exploiting Africa, keeping it poor and under their influence.

The key idea in Africa's exploitation is that too little development (like lack of infrastructure, power plant shortage, no transportation media, no sea port) keeps the surplus value low.

While too much development could challenge the power of rich countries. Dependency theory is also "top-down," meaning it assumes local people lack the skills and power to overcome their poverty on their own.

There are also some criticisms of dependency theory.

1. Overemphasis on External Factors.

Critics argue that Dependency Theory places too much blame on external forces (such as colonialism or Western capitalism) and underestimates internal issues like corruption, poor governance, or inefficient institutions.

The question arise - Is Africa only the victim of external exploitation. This may not seem true. Its internal political instability, corruption, poor governance are also responsible.

2. Ignores Successful Development Cases.

Countries like South Korea, Singapore, and Taiwan transitioned from poor, dependent economies to industrialized nations, challenging the theory's core assumptions. They have good governance, good leadership and self-dependency policies.

In case of Bangladesh, Ruling elites serve western interest.

3. Dependency is Multistaged.

Dependency theory argued that, west exploits poorer countries. But, exploitation can occur within a country in various ways like ---

Urban exploits rural, class exploitation, religious exploitation etc.

The point made is that while Europe and America exploit Africa, African cities also exploit rural areas. Within those rural areas, the rich take advantage of the poor. This creates a chain of exploitation at different levels. So, dependency can be seen as a step-by-step, layered process.

In rural areas, agriculture is the main economic source. Rural areas supply raw materials, resources and cheap labor. These are extracted by urban sector and urban areas become developed. Moreover, urban area need power plant/electricity. Power plant establishes in rural areas. Rural area gets affected by land grab and environmental pollution.

Class exploitation also occurs within a country. Like in Bangladesh, Garment owners exploit garment workers.